TWINTHOS · FORENSIC AUDIT · 21 OCTOBER 2026

The audit. Three errors. One reversal.

Five independent reviewers took the block management recommendation apart. Three findings do not survive. Here is what was wrong and what to do instead.

The recommendation was wrong.

KILLED

Block management at £5,000 a month. The fee exceeds the buyer's entire pre-tax profit, the incumbent shipped the product two weeks ago, and the law does not say what I said it says.

SURVIVES — FOR A DIFFERENT REASON

Recruitment. Not because of admin volume. Because of **profit per employee**. One number settles it, and it is on page 9.

The deeper error: I chose the sector by how much admin it had, not by whether the client could afford the fee.

I priced above their profit.

LINE	VALUE
1,000 units × £300 fee	**£300,000**
Pre-tax profit at 10%	**£30,000**
My £2,500/mo fee	**£30,000/yr**

The fee equals 100% of their profit. At the smallest tier. No managing director signs that, ever.

Fees £150–£800/unit/yr (LevyBoard; Wilson Hawkins 2024–25). PBT margin 10–18%, median ~10% (599 UK property-management companies, theaccounts.uk).

I inverted a number.

I wrote: *1.23m units under ARMA members.*

The source says the opposite:

> *"…just 300 are members of ARMA. That means around 1.23 million residential units are managed by* ***non-ARMA*** *firms."*
>
> BLOCKMANAGEMENTUK.LTD, ARTICLEID=139 — DATED 2020

1.23m is the non-ARMA book. The figure is also six years old, and the 4,100 firm count is a modelled estimate, not a register.

The law does not say that.

I wrote: *a managing agent can be the Principal Accountable Person.*

The accountable person is normally the freeholder, the RMC, the RTM company or the local authority. A managing agent usually acts *on behalf of* them.

> *“You can delegate the work; you cannot delegate the duty.”*

The agent produces the evidence. The client signs it off. My "legal defensibility" pitch fails in most leasehold structures — and a competent client would correct me in the first meeting.

The incumbent shipped it.

MRI — the system of record for block management — launched **Agora Orchestrator** on **6 October 2026**.

First client: James Andrew Residential, 6,500 homes, automating accounting, document processing and maintenance triage.

WHY THIS MATTERS

You would have been selling agentic automation into a market where the software vendor already gives it away, bundled, inside the platform the client already pays for.

“Same software” was 8%.

8%

of residential managing agents are on the stack I said was universal. 70 ARMA members out of ~870 firms.

The whole argument rested on "one build works everywhere". Their own number says one build works at one firm in twelve.

Ask what the role earns, not what it costs.

A £5,000 monthly fee must be small next to the money the role *makes*. Not next to the salary. Not next to the admin.

TEST	RIGHT?
"How much admin do they have?"	Wrong
"What does that role cost?"	Wrong
"How much profit per head?"	Right

Admin volume is a pain measure. Profit per head is a payment measure. Only one of them pays your invoice.

£160,200 per recruiter.

Hays, year to 30 June 2025: **£972.4m of net fees from 6,070 consultants.** That is £160,200 of fee income generated per consultant, per year.

SECTOR	PER HEAD
Recruitment — fees generated	£160,200
Block management — profit generated	≈ £6,000

A £60,000 annual fee is **37%** of one recruiter's output, and **1,000%** of one block manager's profit. That is the entire audit in one comparison.

Price the desk, not the person.

The digital employee does not serve one recruiter. It serves a desk — 20 to 30 consultants, all doing the same repeating tasks.

WHAT IT COVERS	FEE
One workflow, one branch	**£1,500 pilot**
A full desk, 20–30 consultants	**£5,000/mo**
Multi-branch group	**£1,200/branch**

£5,000/mo against 25 consultants is £200 per consultant per month, or roughly 1.5% of the fee income each one generates. That is a defensible invoice.

What to do now.

1. **Drop block management.** Not forever. Until you have a reference client.
2. **Run the profit-per-head test** on any sector before you write another word about it.
3. **Call Hurley and Hipkiss.** Both named, both reachable, both in a sector that can afford £5,000.
4. **Sell one desk, not one task.** The pilot proves it; the desk pays for it.
5. **Never cite your own pricing file as evidence again.** It is a test price, not a fact.

Every correction, traceable.

— “1.23 million … managed by non-ARMA firms” — blockmanagementuk.ltd, ArticleID=139 (2020)

— MRI Agora Orchestrator launch, JAR, 6,500 homes — mrisoftware.com/news, 6 Oct 2026

— Managing agents act for freeholders/RMCs who hold the duty — legislation.gov.uk uksiem_20230315_en.pdf; macfarlanes.com

— Fees £150–£800/unit/yr — LevyBoard; Wilson Hawkins, 2024–25

— PBT margin ~10%, 599 companies — theaccounts.uk

— Hays: £972.4m net fees / 6,070 consultants — Hays plc preliminary results FY2025, via carsonandgray.com/insights

— 70 ARMA members on Qube PM — flat-living.co.uk/qube-pm

— EQube 230+ block clients, 60%+ of TPI units — mrisoftware.com

— 1.5 × £41,067 = £61,601; loaded £71,283 → £5,940/mo, so £5,000 buys 1.26 loaded managers, not 1.5 — and the £6,000 profit-per-head is my estimate (£300k × 10% ÷ 5 staff), labelled as such

— Twinthos pricing status: TEST PRICES, NOT MARKET RATES — company/pricing.md